



CONVEX RESEARCH GROUP

Equity and fixed income research, independently sourced

Morning Note

Tuesday, June 17, 2026

Published: 6:30 AM ET

Tone: Mixed

OVERNIGHT MACRO

- Asia: Nikkei up 1.36%, continuing its strong run. Broader Asian markets mixed with no major catalyst overnight.
- Europe: Broadly green but quiet. DAX +0.14%, CAC +0.33%, Euro Stoxx +0.64%, FTSE MIB +0.47%. FTSE 100 the slight underperformer at -0.09%. No major data driving the moves.
- FX: Dollar index at 99.41, up 0.13%. Modest dollar strength heading into FOMC. Not alarming but worth noting — the dollar tends to strengthen when the market expects the Fed to stay hawkish.
- Commodities: Gold flat at roughly \$4,210, down 0.14% on the day. Crude WTI bouncing modestly, up 0.74% after last week's Iran deal-driven selloff. Oil services sector getting hit hard, OIH down over 9% — the Iran trade continuing to reprice the energy services space more aggressively than headline crude.
- U.S. Futures: Mixed picture. Dow flat, S&P futures slightly positive but cash S&P down 0.57%. Nasdaq down 1.15%. Semiconductors driving the tech selloff — SMH down over 31 points this morning. The divergence between Dow strength and Nasdaq weakness is the defining feature of today's tape.

KEY EVENTS & DATA TODAY

Time (ET)	Event	Prior	Estimate
6:50 AM	CarMax (KMX) Earnings	\$0.94 EPS est	Actual: \$1.31 — 39.4% beat
7:30 AM	Jabil Inc. (JBL) Earnings	\$3.12 EPS est	TBD
Before Open	Progressive Corp. (PGR) Earnings	\$3.74 EPS est	TBD
2:00 PM	FOMC Rate Decision	3.50 to 3.75%	No change — 99.6% probability
2:30 PM	Warsh Press Conference		Statement language is the trade

Key Watch: The FOMC decision at 2:00 PM is a non-event. 99.6% of the market expects no change and they will get it. What matters is Warsh's press conference at 2:30 PM. The questions to watch: does he acknowledge the disinflationary effect of lower oil prices? Does he soften the language around future hikes? The 2Y yield is up 0.17% this morning, which tells you the bond market is not pricing a dovish surprise. Any softening in tone moves rates immediately.

CarMax Read-Through: KMX beat EPS by 39.4% and revenue by \$470M. That is not a small beat. CarMax is one of the better consumer health proxies in the market — people buy used cars when they feel financially stable. A print this strong at a moment when rates have been elevated for over a year says the consumer is more resilient than the rate bears expected.

RATES & CREDIT SNAPSHOT

Instrument	Level	Change	Note
2Y Treasury	4.054%	+0.17%	Drifting higher into FOMC — no dovish bet being placed
5Y Treasury	4.160%	+0.22%	Middle of the curve leading the selloff
10Y Treasury	4.430%	+0.20%	Holding below 4.50%
30Y Treasury	4.936%	+0.14%	Long end stable, below 5.00%

Fed Funds (Jun 17)	3.50 to 3.75%	99.6% hold	No move today
Fed Funds (Jul 29)	3.50 to 3.75%	~8% hike odds	Market not fully ruling out July

The yield curve is drifting modestly higher across all maturities this morning. This is not a panic move — basis points, not full percentage points. What it tells you is that the bond market is sitting on its hands ahead of Warsh. Nobody wants to be positioned aggressively long or short Treasuries before 2:30 PM.

The 5Y leading the selloff at +0.22% is interesting. The 5Y is the most sensitive part of the curve to medium-term rate expectations. That move says the market is hedging against the possibility that Warsh keeps his options open on July rather than signaling a clear pause.

The 30Y holding below 5.00% is the most constructive data point in the rates picture. Last week it was pressing toward that level from above. Staying contained here keeps the long-end inflation narrative from reasserting itself.

EQUITY SETUP

The tape is bifurcated in a way that does not happen often. The Dow is essentially flat, Industrials are up 1.17%, Financials are up 0.79%, Utilities and Real Estate are bid. At the same time, XLK is down 5.35% and SMH is down over 31 points. These are two completely different markets trading simultaneously.

The rotation out of technology and into value, defensives, and rate-sensitives is the dominant theme. This is not a macro selloff — it is a sector rotation. When Industrials lead and Semis lag, the market is telling you it is repositioning toward earnings visibility and away from multiple expansion.

The CarMax beat is worth highlighting in the equity context. Cons. Discretionary is slightly red at -0.11% despite a blowout KMX print, which tells you the sector has other headwinds. But the underlying consumer data from that report is a positive read for the broader economy regardless of where XLY trades today.

Homebuilders ITB at +1.17% is the quiet standout. Yields are up modestly but contained, and the housing sector is catching a bid. The market may be starting to price in rate relief later this year if the oil disinflationary trend holds.

ONE THEME TO WATCH

The semiconductor selloff this morning is not a random event and it is worth understanding what is actually happening.

SpaceX began trading last Friday as the largest IPO in history at a \$1.75 trillion valuation. Index funds and ETFs that track the Nasdaq 100 and Russell 1000 are now required to add SPCX to their portfolios to reflect its weight in the index. To do that, they have to sell existing holdings proportionally to raise cash. The largest holdings in QQQ are Apple, Microsoft, Nvidia — and semiconductors more broadly. The mechanical selling pressure from that rebalancing is hitting the sector this morning.

This is not a fundamental story about semiconductors. The AI capex cycle has not reversed. Demand for chips has not changed. What is happening is a forced flow event — passive money moving from one place to another because an index changed. The companies being sold are not being sold because anything is wrong with them.

The reason this matters is that forced selling creates opportunities on the other side. When a name like LRCX or MU is down 10 to 12 percent because a passive fund is rebalancing rather than because the business deteriorated, the fundamental investor who understands what is happening has an edge. The question for the week ahead is how quickly that rebalancing completes and whether the selling pressure abates before the fundamental buyers step in.

Watch SMH through the close today. If the selling is primarily mechanical it should stabilize as the index rebalancing completes over the next several sessions. If it continues to accelerate, something else is going on.

EVENTS TO WATCH

- FOMC Rate Decision, 2:00 PM ET. No move expected. Statement language on inflation and future hikes is what the market is reading.
- Warsh Press Conference, 2:30 PM ET. The most important 45 minutes of the week. Watch his characterization of the Iran deal oil price decline and any language around the path of rates beyond July.
- Jabil (JBL) and Progressive (PGR) earnings before the open. JBL is a read on electronics manufacturing and supply chain. PGR is a read on insurance pricing and financial sector momentum, which is already the leading sector today.
- SMH price action throughout the session. The semiconductor selloff is the dominant equity story. Whether it stabilizes or accelerates tells you whether this is a mechanical rebalancing or something more fundamental.
- Iran deal headlines. Any movement toward or away from a formal signing will immediately reprice crude, which flows into inflation expectations, which flows into rates and equities.